

# Uttar Pradesh Pharmaceutical and Medical Device Policy 2023

**FOCUS**  
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Uttar Pradesh wants to play a bigger role in India's pharmaceutical and medical device industry, and

its Pharmaceutical and Medical Device Policy, 2023 is designed to support that ambition. The

policy seeks to attract investment across the manufacturing chain, from active pharmaceutical ingredients and bulk drugs to advanced medical devices, while strengthening domestic production and reducing dependence on imports. The larger idea is to build ecosystems rather than isolated factories. Dedicated Pharma Parks and Medical Device Parks are designed to bring manufacturing, testing, research and supporting infrastructure closer together. This cluster-based approach can reduce logistical friction, improve coordination and create an environment in which companies can scale more efficiently. For investors, the policy also recognises the long and capital-intensive nature of pharmaceutical and medical device manufacturing. Support for investment, infrastructure and operating costs is intended to make it easier for companies to establish facilities and build them into commercially viable operations over time.

## Building a High-Value Manufacturing Ecosystem

The opportunity extends beyond individual manufacturing units. Pharmaceutical and medical device production relies on a wider network of suppliers, testing facilities, logistics providers, research institutions and specialised services. As these capabilities develop around major parks, individual investments can create wider industrial activity and strengthen Uttar Pradesh's position within India's healthcare manufacturing value chain. The policy's focus on APIs, bulk drugs and advanced medical devices is particularly significant. These are areas where stronger domestic capacity can help reduce import dependence while creating opportunities to serve markets beyond Uttar Pradesh. The longer-term ambition is to move the state's pharmaceutical industry towards higher-value and more technologically sophisticated manufacturing. Infrastructure is central to making that ambition viable. Manufacturers in these sectors require dependable utilities, specialised facilities and regulatory support. By creating dedicated industrial environments with shared infrastructure, Uttar Pradesh is seeking to reduce some of the practical barriers companies face when establishing complex and highly regulated operations.

## Innovation and Talent as Growth Drivers

- **R&D & Innovation:** Strengthen research, clinical trials, patents and academic collaboration to drive proprietary healthcare products.
- **Higher-Value Manufacturing:** Enable companies to move beyond contract production into higher-margin, technology-driven segments.
- **Regulatory Excellence:** Build strong regulatory and quality capabilities to support global competitiveness.
- **Skilled Talent:** Develop specialised talent across engineering, research, production and regulatory functions to create skilled jobs.



## Medical Device Park: A Flagship Opportunity

The Medical Device Park in Sector 28, YEIDA, Gautam Buddha Nagar, aims to attract high-value medical manufacturing. It will focus on advanced diagnostics, surgical equipment, ventilators and related technologies. The park can create an ecosystem of suppliers, technology firms, testing facilities and specialised talent. By integrating manufacturing, infrastructure, research and skills, Uttar Pradesh can serve both domestic and global markets.



## Key Policy Highlights

- **Capital support:** 15% capital subsidy on eligible investment, with support of up to ₹200 crore, disbursed over five years.
- **Interest support:** 5% annual interest subsidy on eligible plant and machinery loans, with an additional benefit for units in Bundelkhand and Purvanchal.
- **Park development:** Interest and capital support for Pharma and Medical Device Park developers and shared infrastructure.
- **Land and utilities:** Support through stamp duty relief, land concessions and a 10-year electricity duty exemption.
- **Innovation:** Support for R&D institutes, clinical trials, academic research, patents and certification.
- **Talent:** Assistance for specialised training and internships under applicable skilling programmes.